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POLICY NUMBER: **FP-FIN-036**

MISSTATEMENT EVALUATION

AND REVIEW ACCOUNTING POLICY

The purpose of this document is to provide a consistent framework in order to align Hilton Worldwide Holdings Inc.'s ("Hilton") actions when misstatements to the financial statements become known and to align Hilton's accounting methodology with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standards Codification ("ASC") and Securities and Exchange Commission ("SEC") guidance.

POLICY STATEMENT

An error or misstatement in previously issued financial statements is not an accounting change and the reporting of an error correction may involve adjustments to previously issued financial statements. A misstatement is an error in Hilton's financial statements. This could be an error in recognition, measurement, or presentation resulting from calculation errors, incorrect application of U.S. GAAP, or oversight/misuse of facts or circumstances that existed at the time the financial statements were prepared.

SCOPE

This policy applies to all individually identified misstatements within Hilton's consolidated statement of operations and consolidated balances sheets in excess of \$2 million and \$5 million, respectively. Any future changes to the \$2 million and \$5 million threshold will be communicated by Hilton's accounting leadership.

Misstatements can include, but are not limited to:

- Misapplication of U.S. GAAP;
- Mathematical mistakes, such as the overstatement or understatement of Property and Equipment, net due to a miscalculation in depreciation expense; or
- Oversight of facts that existed at the time the financial statements were prepared, such as unrecorded liabilities that were both probable and reasonably estimable.

APPLICABILITY

This policy applies to all Finance personnel.

EXCLUSIONS/ EXCEPTIONS

This policy excludes any misstatements under the materiality threshold. It also excludes any misstatements to any stand-alone financial statements required by Hilton's subsidiaries and also any local statutory financial statements which are not presented in conformity with U.S. GAAP.

This process is only applicable to misstatements that effect a period that has been closed. For example, if a misstatement is (1) identified in Q3 20XX, (2) only relates to Q3 20XX and (3) is corrected in Q3 20XX, then the misstatement is not required to be communicated as discussed further in the **Identification and Initial Communication** section below.

AUTHORIZATIONS

Required Consultation with Accounting Research & Policy

Accounting Research & Policy ("R&P") must be notified if an individually identified misstatement related to the misapplication of U.S. GAAP to any previously closed financial reporting period is greater than the defined materiality threshold.

IDENTIFICATION AND INITIAL COMMUNICATION

Upon identification of a misstatement (or suspected misstatement) that is in excess of the materiality threshold and relates to a previously closed quarter, the Finance team member will complete a Summary of Adjustments Passed ("SOAP") template for the identified misstatement and send the SOAP template to the SAB 108 mailbox along with all supporting documentation. The notification and completion of a SOAP template should occur regardless of whether or not a correction of the misstatement is made in the current period.

If additional assistance is required to ensure alignment with U.S. GAAP or to determine the effect on prior periods, this should be noted in the email and a member of R&P will contact the respective Finance team member.

ANALYSIS AND REVIEW

When a misstatement is identified, an analysis will be performed to assess the materiality of the misstatement. The analysis will include the following considerations:

- A quantitative and qualitative analysis for each period misstated, including contemplation of correcting entries necessary and a review of the periodic misstatement quantification file (the “SAB108 Model”)¹.
- The specific internal control deficiency identified and an evaluation of the severity of the deficiency (i.e., a deficiency, significant deficiency, or material weakness).
- A determination to either correct the misstatement in the current period, not correct the misstatement, or correct the misstatement by restating prior period financial statements.

On a quarterly basis, the SAB108 Model will be used to quantify the effects of all misstatements in the consolidated financial statements. The SAB 108 Model will include both the aggregated effect of all uncorrected misstatements to the current and prior period interim or annual financial statements and the impact of current period corrections of prior period misstatements which misstate prior period interim or annual financial statements.

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

TERM/ACRONYM	DEFINITION
Misstatement	An error in Hilton’s financial statements. An error in recognition, measurement, or presentation in financial statements resulting from mathematical mistakes, mistakes in the application of U.S. GAAP, or oversight or misuse of facts that existed at the time the financial statements were prepared.
Deficiency	A deficiency in internal control over financial reporting exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect misstatements on a timely basis.
Significant Deficiency	A deficiency or a combination of deficiencies, in internal control over financial reporting that is less severe than a material weakness, yet important enough to merit attention by those responsible for oversight of Hilton’s financial reporting.
Material Weakness	A deficiency, or a combination of deficiencies, in internal control over financial reporting, such that there is a reasonable possibility that a material misstatement of Hilton’s annual or interim financial statements will not be prevented or detected on a timely basis.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions and to submit SOAP templates email SAB108reporting@hilton.com	This email represents the shared email address of the Financial Reporting, Consolidations and R&P teams. All questions regarding potential misstatements and completed SOAP templates should be sent to the listed email.
For questions email AccountingResearch&Policy@Hilton.com	This email represents the R&P contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the R&P team or the listed e-mail.

¹ ASC 250-10-S99-1, SAB Topic 1.M and 1.N, Accounting Changes and Error Corrections, Overall, SEC Materials